

Exploring Startup Failures: An Empirical Study of Failure Factors Using the ERIS Model and the AHP

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Abstract

This study investigates the key factors contributing to startup failure by incorporating firsthand insights from individuals within the entrepreneurial ecosystem. While previous research has primarily relied on secondary data or firm-level analyses, our approach captures direct perspectives on failure attribution. In the first phase, we surveyed 205 participants from diverse sectors of the ecosystem and categorized their responses using the ERIS framework(Entrepreneur, Resources, Industry Environment, Strategy). In the second phase, we applied the Analytic Hierarchy Process(AHP) to prioritize nine critical failure factors using a separate sample of 31 entrepreneurs. Results show entrepreneurial factors have greatest impact on startup failure-poor leadership(20.34%) and lack of mission/passion(13.16%) account for over 33% of overall weight. These findings highlight the importance of internal dynamics, particularly leadership, vision, and team management, in determining startup outcomes. We suggest that targeted support programs in leadership development, resilience training, and talent management may mitigate failure risks and enhance entrepreneurial success.

KeyWords: Startup failure, ERIS model, Analytic Hierarchy Process (AHP), Entrepreneurial leadership

1. Introduction

Entrepreneurs often face high levels of uncertainty and risk(Politis & Gabrielsson, 2009). Many new ventures fail in their early stages, resulting not only in financial losses but also in psychological distress and social stigma for founders(Dheer, 2017; Shepherd & Patzelt, 2017). Such outcomes frequently discourage them from starting new businesses, ultimately weakening the broader entrepreneurial ecosystem(Cacciotti et al., 2016; Shepherd et al., 2009). To reinforce this ecosystem, we must examine the reasons for startup failure and identify the key contributing factors. However, most existing research emphasizes factors that drive startup success, leaving the reasons behind failure relatively underexplored(Kim & Kwon, 2023; Shin & Ha, 2013). This study addresses this gap by directly engaging with entrepreneurs to understand their experiences and identify key factors behind their failures.

While prior research has explored individual reasons for startup

failure(Ucbasaran et al., 2013), failure is rarely caused by a single factor. Instead, it typically emerges from a complex interplay of multiple elements that interact and evolve over the course of the entrepreneurial journey. To effectively understand this complexity, this study adopts the ERIS model(Entrepreneur, Resources, Industry Environment, Strategy) to analyze the four core elements that affect entrepreneurial performance. Using this framework, we evaluate the relative importance of various failure factors by applying the Analytic Hierarchy Process(AHP), a method that systematically quantifies factor weights through pairwise comparisons. The AHP effectively evaluates complex, multifaceted problems such as startup failure by structuring a clear prioritization framework(Saaty, 1980). Through this approach, this study identifies the most critical factors influencing startup failure, ranks them based on their relative importance, and proposes a structured framework for prioritizing failure causes.

This study aims to evaluate the relative importance of startup

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failure factors using the ERIS model and propose strategies to mitigate failure by addressing four key research questions. First, among the four factors in the ERIS model, which factor exerts the greatest influence on startup failure? Second, what are the relative importance levels of these key factors based on the AHP analysis? Third, how do these findings inform priority setting for preventing startup failure? Fourth, which factors should entrepreneurs prioritize to reduce the likelihood of failure? To answer these questions, we conducted a qualitative study involving entrepreneurs and experienced startup founders across various industries. By incorporating diverse entrepreneurial environments, this study provides an in-depth analysis of startup failure factors using the ERIS model.

Our findings contribute to entrepreneurship research in three ways. First, by analyzing the relative importance of startup failure factors using the ERIS model, we provide new theoretical insights into the causes of startup failure. Second, by applying the AHP-based analysis, we establish priorities for failure prevention strategies, offering practical recommendations for entrepreneurs and policymakers. Third, by empirically examining the structural characteristics of startup failure factors, we contribute to the theoretical expansion of entrepreneurship research, addressing an area that has been underexplored in prior studies.

The remainder of the paper is organized as follows. Section 2 reviews the theoretical background of startup failure and introduces the ERIS model. Section 3 describes the research design, including data collection procedures and the application of the AHP. Section 4 presents the findings, including the relative importance of failure factors and their ranking based on the AHP results. Section 5 discusses the theoretical and practical implications of the findings and the study's limitations and offers directions for future research.

II. Theoretical Background

2.1. Startup Failure

Startup failure should be understood differently from business closure(Headd, 2003). While a business may close for strategic or personal reasons, failure typically involves a loss of purpose, financial distress, and emotional strain. Cope(2011) defines startup failure as a phenomenon that arises when a startup loses its sense of purpose and encounters financial distress. Cacciotti et al.(2016) broaden this perspective by incorporating psychological experiences into the definition of failure, emphasizing that failure extends beyond financial losses. Failure

also imposes psychological burdens, social stigmas, and economic consequences, which influence the long-term sustainability of entrepreneurial activities(Shepherd et al., 2009).

To comprehend the reasons behind startup failure, researchers emphasize the importance of considering both internal and external factors. Fear is identified as a critical underlying element that influences entrepreneurial decision-making, with various forms of fear affecting how entrepreneurs respond to uncertainty(Cacciotti et al., 2016). Ucbasaran et al.(2013) distinguish between internal causes, such as managerial incompetence and cognitive biases, and external causes, including market conditions and resource availability. These factors often interact to influence the likelihood of failure. External elements such as economic and financial volatility, financial market stability, and government policies also impact startup survival. For example, the design of tax laws can affect the degree of risk entrepreneurs are willing to take(Cullen & Gordon, 2007).

In addition to financial and legal factors, the position a startup occupies within its organizational ecosystem and its life cycle influence its failure risk. Startups face distinct challenges at various developmental stages, which require attention to the temporal dynamics of those challenges(Kim & Kwon, 2023). Moreover, socio-cultural factors also play a critical role in shaping startup outcomes. For instance, research focusing on female entrepreneurs highlights the unique challenges they face, including social expectations and gender-related constraints (Noguera et al., 2013).

Taken together, these insights call for a multi-dimensional approach to understanding startup failure-one that considers the interplay of psychological, organizational, institutional, and cultural elements. Building on this foundation, the present study aims to offer a comprehensive explanation of why startups fail by systematically analyzing these diverse contributing factors.

2.2. Startup Failure and the ERIS Model

Early research on venture success and failure primarily attributed business outcomes to the personal characteristics of entrepreneurs. However, this perspective evolved, leading to the development of more comprehensive models. Sandberg & Hofer(1987) challenged the traditional view by incorporating industry structure and venture strategy as additional determinants of new venture performance. The ERIS model builds upon this framework by further refining the analysis, providing a more dynamic perspective on entrepreneurial performance(Han, 2008). The model consists of four key components-Entrepreneur, Resources, Industry Environment, and Strategy-which interact to

shape a startup's outcomes.

Researchers have widely used the ERIS model to systematically examine the complex environment startups face and to identify success factors. One study applied the model to analyze the key determinants of scaling success in small and medium-sized enterprises in South Korea (An & Kwon, 2022). Another study used the ERIS model to examine different stages of a startup's development, including its founding, commercialization, and stabilization phases, to identify relevant success factors at each stage (Lee & Nam, 2018). Researchers have also analyzed the success of a technology-art startup through the lens of the ERIS model, highlighting key factors and policy implications (Kim et al., 2024a). Additionally, studies on tourism startups and food-tech startups have used the model to demonstrate how entrepreneurs adapt to changing industry environments, emphasizing the importance of entrepreneurial capabilities in navigating industry shifts (Han et al., 2021; Seo et al., 2024).

The four domains of the ERIS model are interrelated rather than functioning independently (Han, 2008; Lee, 2023). A lack of entrepreneurial competence often leads to ineffective resource management, which limits a startup's responsiveness to industry changes (Kim & Yang, 2021). Strategic missteps may also result in poor decision-making and inefficient resource allocation, subsequently increasing the chances of failure (Shin & Ha, 2013). It has been noted that startup failure almost never stems from one sole problem but instead results from a mixture of issues that work together (Kim & Kwon, 2023). For instance, limited resources can strategically constrain a startup's flexibility, which can make a business more sensitive to outside forces, furthering the likelihood of failure (Cope, 2011). Due to this complexity, ERIS model aids in identifying the core failure issues and developing strategies to alleviate them.

The ERIS model consists of four main components:

1. **Entrepreneur:** Entrepreneurs drive their startups by leveraging leadership, vision, experience, and problem-solving skills to navigate external challenges (Edelman & Yli-Renko, 2010). During the early stages, they establish the company's direction and adapt to market changes. Research applying the ERIS model highlights that strong leadership and problem-solving abilities help startups achieve sustainability and maintain a competitive edge (Han et al., 2021; Kim & Yang, 2021; Kim et al., 2024b).

2. **Resources:** Resources are crucial for the success of startups, and the amount and type of resource needed varies during the different phases of growth (Kim et al., 2022). For the initial phases, getting sufficient financing and forming new connections prove most important, whereas in the subsequent phases leveraging technology and managing the organization becomes

most important (Bosma & Schutjens, 2011). A startup's overall performance and its ability to survive greatly depends on how a business is able to manage its resources.

3. **Industry Environment:** The industry environment encompasses external factors that influence a startup's operations. Relevant factors include the competition, the possibility of new competitors entering the field, alternative products, suppliers, and buyers (Porter, 1985). These factors affect both success and failure, making the external environment a critical determinant of entrepreneurial outcomes (Shin & Ha, 2013). For instance, AI has a positive impact on the growth of tech start-ups, but regulations and intensified competition have increased the chances of failure (Kim & Kwon, 2023).

4. **Strategy:** A business strategy involves putting in place a competitive edge within the startup's market area. Strategies include marketing activities, product differentiation by the company, customer care, and globalization plans (Hwang et al., 2021; Noguera et al., 2013). Startups defined by clear strategies manage to outsmart market challenges due to their well-positioned market stance.

III. Methodology

This study employs a two-phase survey approach to systematically identify and prioritize features contributing to startup failure. The first phase provides the foundation for the subsequent analysis conducted in Phase 2. In the initial phase, we conducted a survey to collect individual-level insights into the perceived causes of startup failure. The objective was to capture generalized definitions and commonly held views on failure as collectively shared by members of the broader entrepreneurial ecosystem.

In the second phase, we hired the AHP to determine the relative significance of these factors. The results from the first phase were used to construct the AHP model in the second phase, enabling a systematic approach to prioritization based on data. For this phase, we carefully selected a group of entrepreneurs with direct experience of venture failure to gain deeper insights into the specific causes from the perspective of those with first-hand startup management experience.

3.1. Phase 1: Identifying Major Startup Failure Factors

We conducted an Internet-based survey with a total of 205 participants from November 3, 2023, to December 12, 2024, to identify the primary reasons for startup failure. For this research

part, we hired a research agency for the recruitment of survey participants with our need that only those from the entrepreneurial ecosystem would fit in. The agency recruited respondents through random sampling from South Korea's entrepreneurial ecosystem. We collected approximately half of the responses in late 2023 and the remaining in late 2024 to secure a robust sample size and to capture a broader range of entrepreneurial experiences, including varying stages of business activity and external conditions within the ecosystem.

The survey aimed to identify the factors that members of the entrepreneurial ecosystem widely recognized as contributing to business failure. We asked participants, "Based on your experience in startups, what do you think are the major contributors to your business failure?" The respondents were current or former individuals who had worked in South Korea's entrepreneurial ecosystem, and they shared insights based on their firsthand experiences. <Table 1> presents the demographic characteristics of the respondents.

<Table 1> Demographics of the Survey Respondents

Gender	Male	124	60.49%
	Female	80	39.02%
	Not specified	1	0.49%
	Total	205	100.00%
Age Group	20s and below	47	22.93%
	30s	87	42.44%
	40s	59	28.78%
	50s and above	12	5.85%
	Total	205	100.00%
Startup Experience	Less than 1 year	36	17.56%
	Less than 3 years	67	32.68%
	Less than 5 years	42	20.49%
	Less than 10 years	40	19.51%
	Less than 15 years	12	5.85%
	More than 15 years	3	1.46%
	Not specified	5	2.44%
	Total	205	100.00%
Professional Area	Startup	72	35.12%
	SME	89	43.41%
	Public sector	7	3.41%
	Large corporation	12	5.85%
	Research & Non-for-profit foundation	13	6.34%
	Acceleration & Incubation	5	2.44%
	Risk capital	2	0.98%
	Not specified	5	2.44%
	Total	205	100%

Role and Responsibility	CEO	109	53.17%
	C-level	24	11.71%
	Director	26	12.68%
	Senior-level	12	5.85%
	Junior-level	20	9.76%
	Entry-level	9	4.39%
	Not-specified	5	2.44%
	Total	205	100%

3.1.1. Categorization of Failure Factors

To systematically classify responses, we grouped similar answers based on common themes. To ensure rigor in classification, we recruited 3 expert reviewers with doctoral degrees in business or entrepreneurship or extensive professional experience in the field.

For example, we categorized responses such as "investment," "funding," "financial resources," and "capital" under financial management because we suspected that inadequate financial resource management contributed to startup failure.

After the initial round of categorization, some responses overlapped and aligned with multiple categories. In cases where disagreements emerged, the experts engaged in discussion to reach a consensus.

Through this process, we finally identified nine key factors that contribute to startup failure:

1. Lack of mission or passion
2. Poor leadership
3. Funding failure
4. Not the right team
5. Product out of time
6. Regulation issue
7. Flawed business model
8. Wrong product-market-fit
9. Fail to secure a competitive advantage

To enhance the rigor of our classification process, we assessed how each of the nine key factors identified in our study corresponded with findings from existing academic literature. For example, the factor 'lack of mission or passion' reflects Cacciotti et al.(2016), who identify emotional detachment and burnout as major psychological barriers to entrepreneurial persistence. The factor 'poor leadership' is well-documented in studies that associate ineffective leadership with organizational instability and an increased risk of business failure(Kim & Yang, 2021; Han et al., 2021). Similarly, 'funding failure' and 'not the right team'

are consistent with research that highlights resource constraints and the importance of human capital in entrepreneurial success (Bosma & Schutjens, 2011; Ucbasaran et al., 2013). The factors ‘product out of time’ and ‘regulation issue’ reflect challenges related to market timing and institutional barriers (Kim & Kwon, 2023; Porter, 1985). Finally, ‘strategy-related factors’ are supported by studies that underscore the role of strategic alignment in startup survival (Shin & Ha, 2013; Hwang et al., 2021). This consistency with the literature reinforces the validity of our classification outcome. These findings provided the foundation for the second phase, where we quantitatively assessed the relative importance of each factor using the AHP.

3.2. Phase 2: AHP Method

The survey results revealed several common causes of startup failure, leading us to investigate whether each factor carried equal significance. To address this, we employed the AHP, a structured decision-making method that prioritizes factors through pairwise comparisons (Saaty, 2008). Researchers in entrepreneurship and innovation studies have used AHP to evaluate multidimensional constructs that rely on expert judgment. For example, Kim et al. (2018) used AHP to identify critical success factors for design-based startups by organizing 20 detailed indicators into four higher-level categories. Similarly, Chen, et al. (2019) applied AHP to assess the competencies and environmental factors that influence the success of high-tech startups in international markets. Although these studies center on success factors rather than failure, they underscore the methodological rigor of AHP in examining factors that influence startup outcomes.

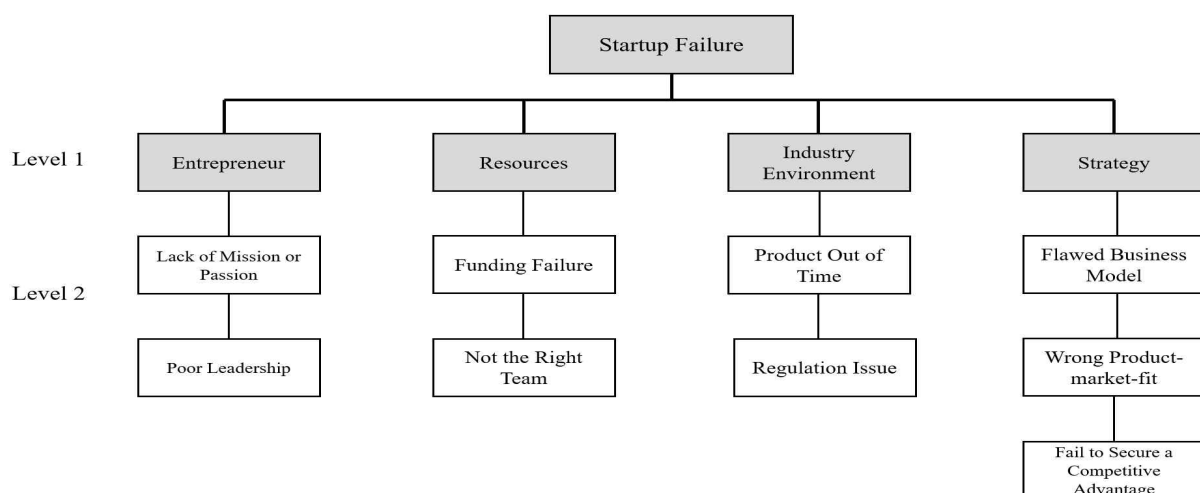
To construct the AHP framework, we adopted the ERIS model for two key reasons. First, the nine factors identified in the previous phase were too numerous to incorporate directly into pairwise comparisons. Including all nine would have required 36 comparisons, potentially undermining the reliability of the results due to respondent fatigue and inconsistency. To mitigate this, we organized the factors into four overarching domains based on the ERIS model—Entrepreneur, Resources, Industry Environment, and Strategy—which we used as the first-level components in the AHP hierarchy. Second, the ERIS model is widely recognized and frequently used in entrepreneurship research, providing both theoretical grounding and practical structure for our analysis. Accordingly, we structured the AHP hierarchy using the ERIS model as the foundation for categorizing startup failure factors.

3.2.1. AHP Framework Development

To integrate the ERIS model with the nine identified failure factors, we developed an AHP framework with two hierarchical levels:

- Level 1: The four main components of the ERIS model—Entrepreneur, Resources, Industry Environment, and Strategy.
- Level 2: The nine failure factors, classified under the relevant ERIS component.

This hierarchical structure reflects the relationships between the identified startup failure factors and the ERIS domains. <Figure 1> presents a graphical representation of the AHP model used in this study.



<Figure 1> the AHP Layout

3.2.2. AHP Data Collection and Participant Recruitment

Through snowball sampling, we recruited 31 entrepreneurs with prior startup failure experience through targeted outreach within the Korea's entrepreneurial ecosystem. All of them are former or current entrepreneurs who launched and ran their startup, and they experienced failure in the early stage or growing stage. We ensured diversity in demographic backgrounds and industry backgrounds, and years of entrepreneurial experience to capture a broad range of perspectives.

<Table 2> provides demographic details of the participants.

<Table 2> Demographics of Participants in the the AHP Questionnaire

Gender	Male	20	64.52%
	Female	11	35.48%
	Total	31	100.00%
Age Group	20 - 29	1	3.23%
	30 - 34	7	22.58%
	35 - 39	4	12.90%
	40- 44	11	35.48%
	45 - 49	5	16.13%
	over 50	3	9.68%
	Total	31	100.00%

Each participant completed a pairwise comparison questionnaire based on the AHP framework. While Saaty(2008) originally proposed a 1-9 scale, our study adopted a modified 9-point scale ranging from -5(strongly favoring one factor) to +5(strongly favoring the other), with 1 indicating equal importance. Participants compared two failure factors at a time, selecting the more critical factor and rating its importance accordingly.

Before data collection, we provided clear instructions to ensure participants understood the the AHP methodology. We also conducted pilot tests with a small group of entrepreneurs to refine the questionnaire and eliminate ambiguities.

After collecting the responses, we applied the AHP computational techniques to calculate the relative weight of each failure factor. This process quantified the impact of each factor on startup failure within the ERIS framework.

By structuring the prioritization process through expert assessments and systematic comparisons, we ensured that the findings accurately reflected the interactions between entrepreneurial decisions, resource constraints, industry challenges, and strategic misalignments that lead to startup failure.

The next section presents the findings from both phases, starting with the survey results and concluding with the AHP-based prioritization of failure factors.

IV. Result

4.1. Phase 1: Survey Findings

The survey results reveal how entrepreneurs perceive the causes of their startup failures. By analyzing 205 responses, we identified recurring themes, which we classified under the four domains of the ERIS model:

1. Entrepreneur(Founder-Related Factors): Many entrepreneurs attributed their startup failures to personal shortcomings or leadership challenges. Responses such as:

- "Lack of persistence due to burnout."
- "Founder's lack of vision and inability to design a roadmap."
- "Founder's will weakens, leading to a loss of momentum."
- "Poor communication skills of the founder, causing discord with employees."

The responses suggest that entrepreneurial mindset and leadership play a major role in business sustainability. These responses align with the Entrepreneur domain and were categorized under 'lack of mission or passion' and 'poor leadership.'

2. Resources(Human and Financial Constraints): Entrepreneurs frequently cited resource constraints, particularly funding issues and talent shortages, as primary reasons for failure. Key responses included:

- "Business interruptions due to a lack of funds."
- "Misuse of funds and poor turnover management."
- "Failure to attract essential investments."
- "Lack of proper team building and management."
- "Insufficient staffing and an inappropriate team composition."

These responses correspond to the Resources domain, specifically the factors 'funding failure' and 'not the right team.'

3. Industry Environment(Market and Regulatory Challenges): Some respondents highlighted external forces beyond their control, such as market dynamics and government policies, as critical failure factors. Statements such as:

- "Failure to adapt to market trends for specific products and services."

- “Failure to capitalize on a timely market entry.”
- “Challenges related to legal regulations and government policies.”

The results suggest that market timing and regulatory environments significantly influence startup success. These responses were classified under ‘product out of time’ and ‘regulation issue’ in the Industry Environment domain.

4. Strategy(Business Model and Market Fit): Many failures stemmed from strategic misalignment in business operations, product development, or market positioning. Entrepreneurs reported challenges such as:

- “Designing business items based solely on personal experience and perceptions.”
- “Lack of meta-cognition.”
- “Lack of operational know-how.”
- “Starting a business without proper preparation.”
- “Setting the wrong business model.”
- “Developing products that do not meet market needs.”
- “Failure to gain a competitive edge over competitors.”

These responses fall under the Strategy domain, categorized as ‘flawed business model,’ ‘wrong product-market fit,’ and ‘failure to secure a competitive advantage.’

In summary, the survey findings confirm that startup failure is multifaceted, with causes spanning founder-related, resource-driven, industry-specific, and strategic factors. However, these findings only identify failure factors without determining their relative importance. To address this, we conducted an AHP-based prioritization in the next phase.

4.2. Phase 2: Prioritizing Startup Failure Factors Using AHP

To quantify the relative impact of each failure factor, we conducted an AHP survey with 31 entrepreneurs who had previously experienced business failure. We structured the AHP questionnaire based on pairwise comparisons of the four ERIS domains and their nine failure factors. We ensured the reliability of the responses by maintaining a consistency ratio(CR) of 0.2 or below, which indicates acceptable judgment consistency(Saaty, 2008). The AHP result is outlined in <Table 3>.

The AHP analysis showed that entrepreneurial factors had the greatest impact on the reasons why startups fail with a domain weight of 0.335. Among these, poor leadership emerged as the most significant failure factor for 20.34% of the overall weight, followed by lack of mission or passion at 13.16%. Combined, these two factors constitute over 33% of the overall weight, highlighting that entrepreneurs’ leadership and vision, and decision-making skills are of critical importance regarding the survival of a startup. This finding suggests that internal leadership issues are more of a risk than external ones, which means that founders need to be able to exercise strong leadership, and be clear on the vision and team management toward heightening chances of success.

Whereas entrepreneurial factors ranked highest, the remaining three domain-Resources, Industry Environment, and Strategy-held relatively equal weight, with weights ranging from 0.205 to 0.230. However, within each domain, one factor outweighed the others. In the Resources domain(0.230), ‘not the right team’(13.71%) had higher weight than ‘funding failure’(9.27%), suggesting that, at least within this sample, team composition and management problems are more pronounced than difficulties in securing capital.

<Table 3> The AHP result: Prioritized Factors of Startup Failure

Level 1		Level 2		Overall	
Domain	Weight	Factor	Ratio	Weight	Priority
Entrepreneur	0.335	Lack of mission or passion	0.393	13.16%	3
		Poor leadership	0.607	20.34%	1
Resources	0.230	Funding failure	0.403	9.27%	6
		Not the right team	0.597	13.71%	2
Industry Environment	0.205	Product out of time	0.628	12.89%	4
		Regulation issue	0.372	7.62%	7
Strategy	0.230	Flawed business model	0.275	6.33%	8
		Wrong product-market-fit	0.461	10.61%	5
		Fail to secure a competitive advantage	0.264	6.07%	9

This makes clear the need for adequate and relevant human resources, proper team dynamics, and effective leadership in the company. Some startups have great capital resources, but if they are having team-related problems, these startups are doomed to fail in executing their business strategies.

In the Industry Environment domain(0.205), 'product out of time'(12.89%) held greater significance than 'regulation issues'(7.62%), suggesting that market timing and adaptability are more influential factors in determining a startup's fate than external regulatory constraints. This also means that, even when the regulatory environment is stringent, there is a higher likelihood of survival for startups that time their entry and industry response strategies effectively. Nonetheless, there are great difficulties posed by regulatory constraints, especially in very regulated fields with high compliance cost burden that are much greater than the benefits of the timing. So, while there is evidence to support the positive role of market timing, it is useful to view its impact along with other peripheral developments that affect the positioning of a startup.

In the Strategy domain(0.230), 'wrong product-market fit'(10.61%) emerged as the most prominent factor, ranking higher than 'flawed business model'(6.33%) and 'failure to secure a competitive advantage'(6.07%). This indicates that misalignment between the product and market demand poses a greater risk to startups than having a poor business model or a competitive position.

The AHP results provide several insights. Entrepreneurial factors take up a major part of startup failure, particularly as ineffective leadership is ranked as the primary cause of failure. Clearly, team-related problems count more than funding issues so proving that talent acquisition and management is more challenging than raising funds. Marketing is much more challenging than regulations, highlighting the need for adaptability and responsiveness to industry shifts. Also, product market fit is undeniably the most important strategic issue, which indicates how likely startups are to fail because they do not have the right solutions as opposed to ineffective business models or competition disadvantages.

Grounded on the qualitative survey results, the AHP analysis offers a systematic explanation of the factors that contribute to startup failure, alongside validating the factors' hierarchy ranking from the survey. These findings indicate that the responsibility for failure rests mostly with leadership and their strategic decisions rather than exogenous limitations. This emphasizes the importance of entrepreneurial resilience, effective team leadership, and market fit in mitigating the chances of failure.

V. Conclusion

5.1. Discussion

This study presents the key reasons for startup failure by gathering insights from individuals and entrepreneurs and classifying these causes within a structured framework. Although many studies have explored startup failures, most have relied on secondary sources(Bae & Choi, 2020; Kim & Kwon, 2023) or analyze failure at the firm level(Shin & Ha, 2013). In contrast, this study focuses on entrepreneurs' firsthand experiences, recognizing that they directly navigate the challenges of entrepreneurship. By capturing their perspectives, this study offers a unique contribution to understanding startup failure.

First, this study provides a detailed examination of startup failure at the individual level. After collecting more than 200 responses from the entrepreneurial ecosystem, we gained direct insights into their perceptions of failure. This allowed us to identify distinct indicators of failure that differ from those appearing in firm-level studies. Eventually, this has led to new comprehensions of startup failure and its causes. The failure factors identified in this study offer insights for future research on startup failure.

Second, this study extends the application of the ERIS model, which has often been used in prior research to analyze startup success. Previous studies have contributed to the understanding of entrepreneurial performance by identifying structural factors, on the premise that the factors are inter-related or inter-influenced within the organization, that lead to positive outcomes. However, most of this work has focused on firm-level analyses and has given limited attention to failure from the individual entrepreneur's perspective. In this study, we apply the ERIS model at the individual level to analyze startup failure. We adapt the model to categorize and structure failure factors, demonstrating its value in explaining why startups fail. The multi-dimensional nature of the ERIS model allows us to examine both internal and external causes, providing a more holistic understanding of failure in entrepreneurial contexts. The findings suggest that internal factors carry more weight than external ones, particularly in the human capital domain. It shows that entrepreneurs frequently attributed failure to their own leadership abilities, decision-making, and team management, rather than external market conditions. The three most contributing failure factors-'poor leadership,' 'not the right team,' and 'lack of mission or passion'-account for nearly 50% of the overall weight in the AHP prioritization. This concludes the importance of leadership and team deviance towards failure

within the startup context.

Third, this study suggests that entrepreneurship policies related to entrepreneurship and startup incubation should have a broader individual component in addition to the organizational one. Many of the current startup boost programs, especially those funded publicly, largely focus on supporting business operation and marketing strategy development. The results suggest, however, that these programs need to help foster personal entrepreneurial competencies of leadership, resilience, and team management. Strengthening these capabilities can enable entrepreneurs to better tackle challenges and therefore minimize failure rates. There is a need for change by addressing policies and support offered to startups to include more efforts on support related to leadership training, mentoring, and building psychological resilience, which can be integrated into the existing incubation and acceleration programs.

Based on these findings, we propose several practical implications for improving startup support systems. A more structured and targeted policy approach is necessary to address the internal causes of startup failure identified in this study.

First, public startup support programs should incorporate leadership development modules tailored to early-stage entrepreneurs going through valley of death. These should include practical training in strategic thinking, decision-making under uncertainty, and team leadership-particularly for founders with limited prior managerial experience.

Second, to solve team-related failures, incubators and accelerators, who take supporting roles for entrepreneurs, could offer structured team-building support, such as co-founder matching platforms, early-stage team diagnostics, and conflict management training. These interventions may reduce internal misalignment before it escalates into irreversible breakdowns.

Third, given the importance of motivation and resilience in entrepreneurial persistence, support programs should integrate psychological components, including access to mentoring, peer-learning networks, and mental health services. These elements are essential in preventing disengagement caused by stress, loss of purpose, or burnout.

Collectively, these recommendations provide a practical roadmap for enhancing startup support systems by positioning the entrepreneur as the central agent of resilience and success.

5.2 Limitation and Future Research

While this study offers valuable insights and practical implications, it also has some limitations. To begin with, because we depended on entrepreneurs' accounts, the results are based on

how they conceptualize and explain failure instead of actual market data. While these insights are important, future studies could add more value by using independent variables such as financial documents, investor testimonials, or operational measures aside from self-reports to gain a more comprehensive understanding of the phenomenon of startup failure.

In this study, we used the AHP to identify and prioritize the relative importance of individual failure factors; however, we did not examine how these factors interact with one another. The ERIS model allows us to see interdependencies of factors in the same domain, but it does not account for interdependencies between factors in different domains. For instance, 'poor leadership', which belongs to the domain of entrepreneur, and 'funding failure', which to the domain of resources, could affect each other because an incompetent leader happens to make fundraising failure and vice versa. This interdependence suggests that startup failure often results from the combined effect of multiple factors rather than a single dominant cause. To gain a more comprehensive understanding of startup failure, future research should move beyond isolated factor analysis and explore the dynamic relationships among failure factors within real entrepreneurial environments.

Third, this study only analyzes failure to a single instance of time, yet there are many factors associated with failure that gradually evolve over months or years. Some problems appear to be trivial in the beginning but as time goes by become very important, and some seems very important in retrospect but were not the main reasons for failure. In the future, studies could follow startups over time to understand how different failure components appear and how they change the life cycle of a company.

Finally, as this research relied solely on the responses from Korea, it may be difficult to apply the findings to other places that have different cultures and economies. Attitudes toward failure differ from one country to another; while some cultures view failure as a huge stigma or setback, others see it as an opportunity to learn something. Additional research should look into the failure cases of entrepreneurs from different regions to analyze the role of financing, regulations, and underlying cultural attitudes in the survival of new businesses.

For all the shortcomings, this research highlights the gaps that exist in our understanding of the reasons behind the failure of startups and how entrepreneurs view their experiences with these failures. While further studies are needed to validate these findings with objective data and cross-regional comparisons, this study serves as a step toward a more comprehensive understanding of the complex and multifaceted nature of startup failure.

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창업자들의 실패 인식에 대한 연구: ERIS 모델과 AHP를 중심으로

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국 문 요 약

본 연구는 창업자들에게 실패 관련 설문을 진행하고 실패의 주요 요인을 파악한 뒤 요인별 중요도를 알아보았다. 실패 연구를 진행한 기존 문헌들은 대체로 2차 데이터에 의존하거나 기업 수준의 분석을 진행했다. 이에 반해 본 연구는 창업자들을 연구 대상으로 하고 두 단계를 연달아 진행하였다. 첫 번째 단계는 창업 생태계가 전반적으로 공유하는 실패에 대한 인식 조사였다. 이를 위해 창업 생태계에서 활동한 경험이 있는 205명에게 창업 실패에 대한 인식을 열린 형태로 물어보았다. 얻은 답변들은 총 9개의 주요 요인으로 요약되었는데 이는 다시 ERIS 모델의 주요 네 가지 영역(기업가, 자원, 산업 환경, 전략)으로 분류되었다. 해당 분류 결과는 본 연구의 두 번째 연구 단계인 분석적 계층 구조 프로세스(AHP) 구성에 적용되었다. 해당 단계에서는 본 연구는 창업 실패를 직접 경험한 31명에게 9가지 실패 요인의 우선순위를 정하도록 요청하였다. 그 결과 기업가 영역을 차지하는 두 요인인 리더십 부족(20.34%)과 미션·열정 부족(13.16%)이 전체 비중의 33% 이상을 차지하며 스타트업 실패에 가장 큰 비중을 차지하는 것으로 나타났다. 본 연구는 창업자가 리더십을 강화하고, 명확한 비전을 유지하며, 팀을 효과적으로 관리하는 것이 실패를 피하는 필요조건임을 보여주고, 창업 실패는 외부 조건이 아닌 내부 역학 관계에서 비롯될 수 있음을 암시한다. 아울러 리더십, 팀 빌딩, 전략적 의사결정은 스타트업의 생존을 결정짓는 중요한 요소이기 때문에 창업 지원 프로그램은 창업 실패는 낮추기 위해 리더십 개발, 회복탄력성 교육, 인재 관리를 강조하는 방향으로 구성되어야 할 것이다.

핵심주제어: 창업 실패, ERIS 모델, 분석적 계층 구조 프로세스(AHP), 기업가적 리더십

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